

HOUSE BILL 1901

By Reedy

AN ACT to amend Tennessee Code Annotated, Title 43;
Title 57 and Title 67, relative to tax credits for
alcoholic beverage byproducts donated for
agricultural use.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 57, is amended by adding the following
as a new chapter:

57-8-101. Definitions.

As used in this chapter:

(1) "Department" means the department of revenue;

(2) "Eligible taxpayer" means the holder of a manufacturer license to
brew high alcohol content beer or the holder of a permit to brew or manufacture
beer in this state; and

(2) "Spent grain byproduct" means the byproduct material remaining from
grain used to produce beer, including high alcohol content beer.

57-8-102. Eligibility for tax credit.

An eligible taxpayer is entitled to a credit in the amount and under the conditions
provided by this chapter against the taxpayer's excise tax liability under title 67, chapter
4, part 20.

57-8-103. Amount of credit – Limitation.

(a) Subject to subsection (b), the amount of an eligible taxpayer's credit for a
state fiscal year is equal to the product of:

(1) Eight cents (8¢); and

(2) The number of pounds dry weight of spent grain byproduct donated by the taxpayer during the state fiscal year:

(A) For agricultural use, including for use in composting or as animal feed; and

(B) To a recipient located in this state that is not more than one hundred miles (100 mi.) from the location where the spent grain byproduct was used to produce beer, including high alcohol content beer.

(b) An eligible taxpayer shall not claim in a state fiscal year a credit under this chapter that exceeds the lesser of:

(1) Thirty thousand dollars (\$30,000); or

(2) The total amount of excise taxes paid by the taxpayer during the state fiscal year.

57-8-104. Application for credit.

(a) A taxpayer must apply for a credit under this chapter in the manner prescribed by the department.

(b) The department may request from a taxpayer information reasonably necessary to determine:

(1) Whether the taxpayer is an eligible taxpayer; and

(2) If the taxpayer is an eligible taxpayer, the amount of the credit.

57-8-105. Rules.

The department, in consultation with the department of agriculture, may promulgate rules to effectuate this chapter. Rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. Tennessee Code Annotated, Section 67-4-2009, is amended by adding the following as a new, appropriately designated subdivision:

() A credit must be allowed against the tax imposed by this part in accordance with title 57, chapter 8;

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2027, the public welfare requiring it.